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China Regional Banks

2Q26 review: Core earnings resilient, while AQ divergence widens; prefer BoNB and BoNJ

2Q26 results for China regional banks (CRBs) showed resilient core earnings, supported by strong NII growth and broader fee recovery, while asset quality became a more important source of differentiation. Average NII/fee income grew 15%/17% y/y, supporting 6%/8% y/y revenue/profit growth. BoNB delivered the strongest and best quality profit growth momentum driven by solid fees and NII. Corporate lending remained the key driver of loan growth, while retail loan demand stayed weak and retail Asset quality (AQ) pressure persisted. AQ for BoSH was a clear negative, while BoNJ showed the most visible improvement. We continue to favor banks with stronger growth visibility and better risk trends. **Our top picks are BoNB (OW) on better earnings momentum and BoNJ (OW) on an improved AQ trend, while we would avoid BoSH (N) following the 2Q print.**

- **2Q26 key trends: Core earnings remained resilient, aided by strong NII and broader fee recovery.** CRBs delivered 15% y/y average NII growth in 2Q26, broadly stable from 16% y/y in 1Q26 on the back of continued loan expansion and stabilization in NIM trend. 1H26 NIM improved 1bps h/h, while for three banks that disclosed quarterly NIM, 2Q NIM declined -5bps q/q after a strong rebound in 1Q due to fading benefits from deposit repricing. Fee income growth accelerated to 17% y/y from 12% y/y in 1Q, with wealth management-related income providing the key support, while non-fee income remained the main drag (-17% y/y on average). Average revenue/PPOP grew 6%/9% y/y and net profit increased 8% y/y. Loan growth remained solid at 10% y/y and continued to be corporate led, while retail loans declined 2% h/h in 1H26.
- **AQ trends diverged further, with retail remaining the key sector-wide pressure.** NPL ratios were broadly stable for most CRBs, but retail NPL ratios continued to rise across all sub-sectors. Forward-looking indicators were more stable, with the average SML ratio improving q/q and the overdue ratio broadly flat h/h. BoNJ was the clearest positive, with improvement across all key AQ metrics, especially retail NPL percentage. On the other hand, BoSH was a key negative, with its NPL ratio rising 24bps q/q to 1.42% and NPL coverage falling 43ppts q/q to 198%. In addition, the still-elevated Stage 3 loans and NPL gap suggests the underlying risk pressure has not fully dispersed.
- **Stock positioning: We prefer BoNB and BoNJ following 2Q26 results while avoiding BoSH.** BoNB remains our top pick in the CRB space, with the strongest combination of loan growth, NII momentum, wealth franchise and a largely stable AQ trend. We also prefer BoNJ, where the 41% y/y NII growth, and improving retail and forward-looking AQ indicators provide better earnings visibility and risk-reward despite weak non-fee income. BoSH had the weakest 2Q print. The AQ deterioration is likely to weigh on near-term sentiment and the share price, though we believe its higher dividend yield (5.4% at FY26E, highest among peers) should provide some downside support. BoBJ outperformed the CSI bank index by 5pcts post its 2Q result (as of 2 Sep), likely helped by an improving profit growth trend from FY25 and return of interim dividends. However, we view the rally as difficult to sustain, as a weak PPOP trend (-3% y/y in 2Q) and muted loan growth (-1% q/q in 2Q) suggests no clear inflection in underlying operating trends.

Banks & Financial Services

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Valuation table

Table 1: China regional banks – comparative valuation

Company	Bbg code	Share price (LC)	Rating	PT (LC)	Mkt Cap USDbn	P/E		P/B		Div Yield		ROE	
						FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Nanjing-A	601009 CH	11.87	OW	12.90	22	6.4	5.8	0.70	0.65	5.0%	5.5%	10.9%	11.0%
Ningbo-A	002142 CH	34.30	OW	39.20	34	7.1	6.3	0.91	0.82	3.9%	4.4%	13.5%	13.6%
CRCB-A	601077 CH	6.85	OW	8.00	11	6.0	5.6	0.53	0.50	5.0%	5.4%	9.1%	9.2%
Shanghai-A	601229 CH	9.63	N	9.20	20	5.7	5.6	0.52	0.49	5.4%	5.5%	9.4%	9.0%
Hangzhou-A	600926 CH	17.20	N	16.20	19	6.1	5.5	0.83	0.74	4.3%	4.8%	14.4%	14.3%
Beijing-A	601169 CH	5.54	UW	4.50	17	6.5	6.1	0.40	0.38	4.7%	4.9%	6.4%	6.5%
CSRCB-A	601128 CH	6.34	UW	5.40	3	4.8	4.5	0.66	0.59	4.4%	4.8%	14.3%	14.0%
City/rural banks average						6.1	5.6	0.65	0.60	4.7%	5.0%	11.1%	11.1%

Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Share prices as of 2 Sep 2026.

Key metrics in comparison

Table 2: YoY trend in key operating metrics for regional banks in 2Q26

	NII		Net Fee		Revenues		PPOP		Net profits		NIM	
	QoQ	YoY	QoQ	YoY	QoQ	YoY	QoQ	YoY	QoQ	YoY	1Q26	2Q26
CRCB	2%	15%	-45%	7%	3%	7%	-2%	10%	8%	7%	1.69%	1.63%
CSRCB	0%	6%	-2%	37%	3%	5%	3%	10%	-19%	10%	2.50%	2.46%
Ningbo	0%	14%	-32%	26%	3%	13%	-1%	18%	2%	14%	1.73%	1.67%
Nanjing	3%	41%	-47%	-25%	-4%	8%	-9%	11%	7%	8%	NA	NA
Shanghai	2%	10%	-4%	-2%	3%	7%	2%	8%	10%	0%	NA	NA
Beijing	-1%	3%	-16%	15%	-5%	-2%	-14%	-3%	-4%	6%	NA	NA
Hangzhou	-1%	18%	18%	59%	2%	5%	0%	6%	-7%	10%	NA	NA
Average	1%	15%	-18%	17%	1%	6%	-3%	9%	0%	8%	1.97%	1.92%

Source: 2Q26 company reports of 7 JPM covered regional banks. Note: Only CRCB, CSRCB and BoNB disclose quarterly NIM.

Table 3: QoQ movement of asset quality and key BS items in 2Q26

	NPL ratio		SML ratio		NPL coverage		LLR		Loan growth		Deposit growth		Asset growth	
	QoQ	YoY	QoQ	YoY	QoQ	YoY	QoQ	YoY	QoQ	YoY	QoQ	YoY	QoQ	YoY
CRCB	-2 bps	-12 bps	NA	NA	-8 pcts	2 pcts	-17 bps	-42 bps	2%	10%	-2%	6%	1%	10%
CSRCB	0 bps	-2 bps	NA	NA	-6 pcts	-58 pcts	-6 bps	-51 bps	2%	9%	0%	5%	1%	6%
Ningbo	0 bps	0 bps	-2 bps	2 bps	4 pcts	-1 pcts	3 bps	0 bps	3%	17%	2%	10%	2%	14%
Nanjing	-1 bps	-2 bps	-8 bps	-9 bps	-1 pcts	-5 pcts	-5 bps	-11 bps	2%	13%	0%	11%	1%	12%
Shanghai	24 bps	24 bps	-35 bps	-27 bps	-43 pcts	-47 pcts	-3 bps	-7 bps	3%	6%	2%	4%	1%	4%
Beijing	-2 bps	0 bps	NA	NA	2 pcts	4 pcts	-3 bps	4 bps	-1%	0%	1%	6%	-4%	0%
Hangzhou	0 bps	0 bps	2 bps	-2 bps	-9 pcts	-49 pcts	-6 bps	-37 bps	1%	15%	-1%	12%	1%	10%
Average	3 bps	1 bps	-11 bps	-9 bps	-9 pcts	-22 pcts	-5 bps	-20 bps	2%	10%	0%	8%	1%	8%

Source: 2Q26 company reports of 7 JPM covered regional banks.

Beat and miss

Table 4: 2Q26 results – Summary of actual vs estimates

	Revenues			PPOP			Net profits		
	2Q26 JPMe	2Q26 Actual	A vs JPMe	2Q26 JPMe	2Q26 Actual	A vs JPMe	2Q26 JPMe	2Q26 Actual	A vs JPMe
CRCB	8,062	8,062	0%	5,717	5,894	3%	4,237	4,233	0%
CSRCB	3,274	3,257	-1%	2,180	2,213	2%	971	974	0%
Ningbo	20,604	21,066	2%	13,953	14,821	6%	8,072	8,381	4%
Nanjing	15,288	15,484	1%	11,084	11,414	3%	7,034	7,050	0%
Shanghai	13,971	14,667	5%	10,650	11,285	6%	7,034	6,965	-1%
Beijing	19,584	18,649	-5%	13,601	13,274	-2%	7,761	7,802	1%
Hangzhou	10,571	10,642	1%	7,736	8,014	4%	6,213	6,185	0%
Average			1%			3%			0%

Source: 2Q26 company reports of 7 JPM covered regional banks, J.P. Morgan estimates as of 5 Aug 2026.

Table 5: 2Q26 results – Beat / Miss / In line

Bank	2Q26 results	Positives and Negatives
BoNB	Beat	Positives: Revenue/profit +13%/+14% y/y; NII +14% y/y on 17% loan growth; fee +26% y/y; CET1 +28bps q/q; headline AQ stable. Negatives: NIM -6bps q/q; retail NPL ratio +6bps h/h.
BoNJ	In line	Positives: Profit +8% y/y in line; NII +41% y/y and 18% above JPMe; PPOP +11% y/y; NIM +1bp h/h; NPL/SML/overdue and retail AQ improved. Negatives: Fee/non-fee -25%/-33% y/y and materially missed JPMe.
BoHZ	In line	Positives: Profit +10% y/y; NII +18% y/y and fee +59% y/y, both ahead of JPMe; NIM +2bps h/h; PPOP +6% y/y; interim payout ratio rose to 26%. Negatives: SML and overdue ratios worsened; retail NPL +27bps h/h; non-fee -45% y/y.
CRCB	In line	Positives: Profit +7% y/y; NII +15% y/y and 5% above JPMe; PPOP +10% y/y; NPL and SML ratios improved. Negatives: NIM -6bps q/q; non-fee -29% y/y; loan growth mainly driven by discounted bills and deposits -2% q/q.
CSRCB	In line	Positives: Profit +10% y/y; PPOP +10% y/y and 2% above JPMe on OPEX -3% y/y; fee +37% y/y; headline AQ showed signs of stabilization. Negatives: NII +6% y/y slightly missed; NIM -4bps q/q; loan growth mainly from discounted bills, while corporate/retail loans were flat.
BoBJ	In line	Positives: Profit +6% y/y, 1% above JPMe; fee +15% y/y; impairment -24% y/y; headline AQ stable; NIM +3bps h/h; Negatives: Revenue/PPOP -2%/-3% y/y and missed JPMe; loans -1% q/q; NII +3% y/y missed by 4%; non-fee -22% y/y.
BoSH	Miss	Positives: PPOP +8% y/y and 6% above JPMe, supported by stronger NII, loan growth and cost control. Negatives: NPL ratio +24bps q/q and coverage -43ppts q/q; Stage 3/NPL gap still elevated; Profit flat y/y and 1% below JPMe on higher credit cost

Source: 2Q26 company reports of 7 JPM covered regional banks, J.P. Morgan.

Top picks and an avoid

Performance remained divergent among regional banks, and we prefer names with stronger core earnings momentum and better asset quality trends. NII growth remained resilient in 2Q26, fee recovery broadened, but weak non-fee income and divergent credit costs continued to drive differences in earnings quality. Retail AQ remained the key sector-wide pressure point. Against this backdrop, our top picks are BoNB and BoNJ, while we would avoid BoSH (N) following the 2Q print.

Our view on BoBJ (UW) post results rally: BoBJ's post-results rally is not sustainable, in our view. The shares have rallied around 9% since the 2Q26 results, which were released after the market close on 28 Aug, outperforming CSI banks index by 5pcts (as of Sep 2), likely reflecting improving profit growth of +6% y/y in 1H26 (vs -24% y/y in 2025 and +3% y/y in 2024) and resumption of interim dividend. However, we do not see this as a fundamental inflection point as revenue/PPOP declined 2%/3% y/y respectively. NII growth was only 3% y/y (missed JPMe by 4%) and loans contracted 1% q/q, suggesting that the underlying core earnings trend and balance sheet growth remain weak. AQ started to show signs of stabilization while its NPL ratio and NPL coverage level were worse than the CRB average. We therefore see limited room for a sustained re-rating unless core earnings growth and AQ recover more visibly.

Top picks

- **BoNB remains our top pick**, with the strongest growth momentum and most differentiated wealth franchise among regional banks. BoNB delivered the cleanest 2Q26 beat, with revenue/profit growing 13%/14% y/y. 2Q NII was up 14% y/y on strong loan expansion and fee income was up 26% y/y, supported by wealth distribution and asset management. Its capital position also improved, with CET1 up 28bps q/q, supported by RWA optimization, and the interim payout ratio increased. Retail AQ remains the key watch point, but overall AQ stayed broadly stable with marginal improvements in forward-looking indicators. We believe BoNB's better growth visibility and differentiated wealth-management franchise should continue to support its valuation premium over other regional banks.
- **BoNJ is our preferred AQ-improvement name**. 2Q profits growth of 8% y/y was broadly in line, but underlying trends were stronger: NII grew 41% y/y and beat JPMe by 18%, supported by effective liability cost management and higher interest income from debt securities. AQ also improved across headline and forward-looking indicators, with the NPL ratio (-1bps q/q), SML (-8bps q/q) and overdue ratios (-8bps h/h) improving, and the retail NPL ratio down 7bps h/h. Non-fee was the main drag due to higher base, but we believe the combination of resilient NII, improving AQ and better operating efficiency provides a more favorable risk-reward profile.

Avoid

- **We avoid BoSH following its 2Q result, as the sharp deterioration in AQ raises earnings downside risk**, despite improving PPOP momentum. The NPL ratio rose 24bps q/q to 1.42% in 2Q26, while NPL coverage declined 43ppts q/q to 198%. In our view, the rise in NPL ratio reflects both rising risks (particularly in property-related exposures) and stricter loan classification. We believe the still-elevated gap between Stage 3 and NPL ratios suggests further pressure on reported NPLs. PPOP grew a solid 8% y/y, supported by stronger NII, loan growth and cost control, but this failed to translate into profit growth due to higher credit costs. We believe rising AQ risks and reduced provision buffers in 2Q outweigh the improvement in PPOP trends, and are likely to weigh on the share price, although its relatively high dividend yield (~5.4% in FY26E, highest among our CRB coverage) should provide some downside support.

2Q26 review

Core earnings remained resilient, with strong NII and broader fee recovery

- **NII growth remained strong in 2Q26, although the sharp NIM rebound seen in 1Q partly faded.** CRBs' average NII growth remained at 15% y/y in 2Q26, broadly stable from 16% y/y in 1Q and well above 8% y/y net profit growth. On a semi-annual basis, average NIM improved 1bps h/h to 1.63% in 1H26, as funding cost declined 16bps h/h, slightly faster than the 15bps decline in asset yield. Similarly, deposit cost fell 18bps h/h versus a 16bps decline in loan yield, supporting a 2bps h/h improvement in loan-deposit spread. However, for the three banks disclosing quarterly NIM, CRCB/CSRCB/BoNB saw NIM decline by 6bps/4bps/6bps q/q in 2Q, respectively, after their strong 1Q rebounds, suggesting that some of the benefit from deposit repricing is fading.
- **Fee recovery broadened in 2Q, supported by improving capital market sentiment, although performance remained bank-specific.** Average fee income growth accelerated to 17% y/y in 2Q from 12% in 1Q, with five of the seven covered CRBs reporting positive fee growth. BoHZ/CSRCB/BoNB were the strongest at +59%/+37%/+26% y/y, respectively; BoNB's fee growth (+26% y/y in 2Q) moderated from the high 1Q base (+82% y/y) but remained supported by wealth product distribution and asset management following the recovery of investment sentiment. On the other hand, BoNJ and BoSH reported fee declines of 25%/2% y/y, highlighting continued divergence across banks.
- **Non-fee income became a larger drag, slowing the overall revenue and PPOP recovery.** Average non-fee income declined 17% y/y in 2Q, worsening from -8% in 1Q, with particularly weak performance at BoHZ/BoSH/BoNJ/CRCB. As a result, average revenue/PPOP growth slowed to 6%/9% y/y in 2Q, from 9%/13% in 1Q. Opex growth turned slightly positive at +1% y/y in 2Q, but remained below revenue growth, driving a further decline in the cost-income ratio and continued improvement in cost efficiency.
- **Profits growth remained relatively stable, but impairment charges drove wider company-level divergence.** 2Q profits growth remained resilient, edging up to 8% y/y in 2Q from 7% y/y in 1Q, but the gap between PPOP trend and bottom line delivery widened across banks, mainly reflecting differences in credit cost. BoSH's 8% y/y PPOP growth failed to translate into profit growth (flat y/y) due to higher credit costs. Conversely, BoBJ delivered +6% y/y profit growth despite PPOP -3% y/y, helped by a 24% y/y decline in impairment charges.

Table 6: Key PnL items of regional banks

y/y growth	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Q/Q	Y/Y
NII								
CRCB	5%	7%	9%	11%	15%	15%	0 pcts	9 pcts
CSRCB	1%	1%	5%	3%	6%	6%	0 pcts	5 pcts
Ningbo	12%	11%	13%	8%	14%	14%	0 pcts	3 pcts
Nanjing	18%	27%	41%	38%	39%	41%	2 pcts	14 pcts
Shanghai	5%	-1%	-2%	10%	5%	10%	5 pcts	11 pcts
Beijing	-1%	4%	3%	2%	10%	3%	-6 pcts	-1 pcts
Hangzhou	7%	12%	11%	21%	21%	18%	-3 pcts	6 pcts
Simple average	7%	9%	11%	13%	16%	15%	-1 pcts	7 pcts
Fee Income								
CRCB	-3%	-27%	-25%	-31%	4%	7%	3 pcts	34 pcts
CSRCB	495%	869%	250%	216%	41%	37%	-4 pcts	-832 pcts
Ningbo	-1%	10%	94%	37%	82%	26%	-56 pcts	15 pcts
Nanjing	18%	-8%	14%	-153%	-15%	-25%	-10 pcts	-17 pcts
Shanghai	-8%	-3%	-9%	-4%	-17%	-2%	15 pcts	1 pcts
Beijing	24%	15%	7%	-16%	2%	15%	13 pcts	-1 pcts
Hangzhou	22%	-3%	17%	15%	-11%	59%	70 pcts	61 pcts
Simple average	78%	122%	50%	9%	12%	17%	5 pcts	-105 pcts
Non-fee Income								
CRCB	-17%	-18%	-37%	-44%	-32%	-29%	3 pcts	-11 pcts
CSRCB	49%	41%	-22%	-27%	6%	1%	-6 pcts	-41 pcts
Ningbo	-7%	9%	-35%	-9%	-26%	5%	32 pcts	-4 pcts
Nanjing	-11%	-3%	-38%	-39%	-19%	-33%	-14 pcts	-30 pcts
Shanghai	6%	18%	20%	-10%	8%	3%	-5 pcts	-15 pcts
Beijing	-18%	7%	-53%	-47%	40%	-22%	-62 pcts	-28 pcts
Hangzhou	-18%	-5%	-60%	-48%	-37%	-45%	-9 pcts	-40 pcts
Simple average	-2%	7%	-32%	-32%	-8%	-17%	-9 pcts	-24 pcts
Operating income								
CRCB	1%	0%	1%	4%	8%	7%	-1 pcts	8 pcts
CSRCB	10%	10%	4%	1%	7%	5%	-1 pcts	-5 pcts
Ningbo	6%	10%	9%	7%	10%	13%	3 pcts	3 pcts
Nanjing	7%	11%	9%	16%	14%	8%	-5 pcts	-2 pcts
Shanghai	4%	5%	4%	1%	4%	7%	2 pcts	2 pcts
Beijing	-3%	5%	-6%	-10%	14%	-2%	-17 pcts	-7 pcts
Hangzhou	2%	6%	-4%	0%	4%	5%	1 pcts	0 pcts
Simple average	4%	7%	3%	3%	9%	6%	-3 pcts	0 pcts
OPEX								
CRCB	-5%	13%	-5%	0%	-4%	0%	4 pcts	-13 pcts
CSRCB	8%	8%	1%	-2%	-2%	-3%	-2 pcts	-11 pcts
Ningbo	-3%	3%	-2%	0%	-2%	2%	3 pcts	-2 pcts
Nanjing	7%	6%	-11%	9%	0%	2%	2 pcts	-4 pcts
Shanghai	-3%	2%	0%	6%	3%	3%	1 pcts	2 pcts
Beijing	-6%	14%	-4%	9%	-11%	0%	11 pcts	-14 pcts
Hangzhou	1%	3%	-1%	10%	-2%	2%	4 pcts	-1 pcts
Simple average	0%	7%	-3%	4%	-3%	1%	3 pcts	-6 pcts
PPOP								
CRCB	4%	-5%	4%	7%	13%	10%	-3 pcts	15 pcts
CSRCB	11%	11%	6%	4%	11%	10%	-1 pcts	-1 pcts
Ningbo	10%	14%	15%	12%	15%	18%	3 pcts	4 pcts
Nanjing	6%	13%	16%	21%	18%	11%	-7 pcts	-2 pcts
Shanghai	6%	5%	5%	0%	5%	8%	3 pcts	2 pcts
Beijing	-2%	2%	-7%	-20%	24%	-3%	-27 pcts	-5 pcts
Hangzhou	3%	7%	-6%	-5%	6%	6%	0 pcts	0 pcts
Simple average	5%	7%	5%	3%	13%	9%	-5 pcts	2 pcts
Net profits								
CRCB	6%	3%	2%	19%	5%	7%	2 pcts	4 pcts
CSRCB	14%	13%	12%	3%	11%	10%	-1 pcts	-3 pcts
Ningbo	6%	11%	9%	7%	10%	14%	4 pcts	3 pcts
Nanjing	7%	11%	6%	8%	8%	8%	0 pcts	-2 pcts
Shanghai	2%	2%	5%	2%	1%	0%	0 pcts	-1 pcts
Beijing	-2%	5%	-2%	-118%	6%	6%	0 pcts	1 pcts
Hangzhou	17%	16%	9%	1%	10%	10%	0 pcts	-6 pcts
Simple average	7%	9%	6%	-11%	7%	8%	1 pcts	-1 pcts

Source: 1Q25-2Q26 company reports of 7 JPM covered China regional banks.

Table 7: CRB NIM annual and semi-annual

NIM	2023	2024	2025	YoY	1H24	2H24	1H25	2H25	1H26	HoH	YoY
CRCB	1.73%	1.61%	1.60%	-1 bps	1.63%	1.59%	1.60%	1.59%	1.66%	7 bps	7 bps
CSRCB	2.86%	2.71%	2.53%	-18 bps	2.79%	2.63%	2.58%	2.48%	2.48%	0 bps	-10 bps
Ningbo	1.88%	1.86%	1.74%	-12 bps	1.87%	1.85%	1.76%	1.72%	1.70%	-2 bps	-6 bps
Nanjing	2.04%	1.94%	1.82%	-12 bps	1.96%	1.92%	1.86%	1.78%	1.79%	1 bps	-7 bps
Shanghai	1.34%	1.17%	1.16%	-1 bps	1.19%	1.14%	1.15%	1.16%	1.15%	-1 bps	0 bps
Beijing	1.54%	1.47%	1.27%	-20 bps	1.47%	1.47%	1.31%	1.23%	1.26%	3 bps	-5 bps
Hangzhou	1.50%	1.41%	1.36%	-6 bps	1.42%	1.40%	1.35%	1.37%	1.39%	3 bps	4 bps
CRB average	1.84%	1.74%	1.64%	-10 bps	1.76%	1.71%	1.66%	1.62%	1.63%	1 bps	-3 bps

Source: 2023-1H26 company reports of 7 JPM covered China regional banks.

Table 8: CRB quarterly NIM

NIM (Quarterly)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	QoQ	YoY
CRCB	1.61%	1.59%	1.57%	1.62%	1.69%	1.63%	-6 bps	4 bps
CSRCB	2.61%	2.55%	2.55%	2.41%	2.50%	2.46%	-4 bps	-9 bps
Ningbo	1.80%	1.72%	1.76%	1.68%	1.73%	1.67%	-6 bps	-5 bps

Source: 1Q25-2Q26 company reports of 7 JPM covered China regional banks. Note: CRCB, CSRCB, Ningbo disclose quarterly NIM

Table 9: Asset yield and funding cost comparison

	Asset Yield				Funding Cost				Net interest spread			
	1H25	2H25	1H26	HoH	1H25	2H25	1H26	HoH	1H25	2H25	1H26	HoH
CRCB	3.14%	2.98%	2.92%	-6 bps	1.64%	1.48%	1.34%	-14 bps	1.51%	1.50%	1.58%	8 bps
CSRCB	4.42%	4.16%	3.94%	-21 bps	1.98%	1.82%	1.59%	-23 bps	2.44%	2.34%	2.35%	2 bps
Ningbo	3.58%	3.32%	3.13%	-19 bps	1.79%	1.58%	1.43%	-15 bps	1.78%	1.73%	1.70%	-3 bps
Nanjing	3.72%	3.48%	3.34%	-13 bps	2.09%	1.90%	1.72%	-18 bps	1.63%	1.58%	1.62%	5 bps
Shanghai	2.91%	2.73%	2.53%	-20 bps	1.76%	1.57%	1.42%	-15 bps	1.15%	1.16%	1.12%	-5 bps
Beijing	3.02%	2.80%	2.68%	-12 bps	1.72%	1.58%	1.45%	-13 bps	1.30%	1.22%	1.23%	1 bps
Hangzhou	3.24%	2.99%	2.85%	-14 bps	1.87%	1.64%	1.49%	-15 bps	1.37%	1.35%	1.37%	1 bps
CRB Avg	3.43%	3.21%	3.06%	-15 bps	1.83%	1.65%	1.49%	-16 bps	1.60%	1.55%	1.57%	2 bps

Source: 1H25-1H26 company reports of 7 JPM covered China regional banks.

Table 10: Loan yield and deposit cost comparison

	Loan Yield				Deposit Cost				Loan-deposit spread			
	1H25	2H25	1H26	HoH	1H25	1H25	2H25	HoH	1H25	2H25	1H26	HoH
CRCB	3.70%	3.58%	3.53%	-5 bps	1.52%	1.39%	1.24%	-15 bps	2.18%	2.20%	2.29%	9 bps
CSRCB	5.33%	5.03%	4.78%	-25 bps	1.96%	1.79%	1.53%	-26 bps	3.37%	3.24%	3.25%	1 bps
Ningbo	4.38%	4.10%	3.86%	-24 bps	1.71%	1.50%	1.32%	-18 bps	2.67%	2.60%	2.53%	-6 bps
Nanjing	4.56%	4.40%	4.27%	-13 bps	2.11%	1.97%	1.75%	-22 bps	2.45%	2.43%	2.52%	9 bps
Shanghai	3.29%	3.10%	2.94%	-16 bps	1.62%	1.42%	1.23%	-20 bps	1.67%	1.68%	1.72%	4 bps
Beijing	3.38%	3.27%	3.13%	-14 bps	1.59%	1.45%	1.34%	-11 bps	1.79%	1.82%	1.79%	-3 bps
Hangzhou	3.77%	3.54%	3.38%	-16 bps	1.80%	1.55%	1.40%	-15 bps	1.97%	1.98%	1.97%	-1 bps
CRB Avg	4.06%	3.86%	3.70%	-16 bps	1.76%	1.58%	1.40%	-18 bps	2.30%	2.28%	2.30%	2 bps

Source: 1H25-1H26 company reports of 7 JPM covered China regional banks.

Corporate lending remained the key driver for loan growth

- **Loan growth remained solid, led by selected quality regional banks.** CRB's average loan increased +2% q/q (or 10% y/y) in 2Q26, with BoNB (+17% y/y), BoHZ (+15%) and BoNJ (+13%) continuing to outperform peers. By contrast, BoBJ was the weakest, with loans declining 1% q/q and remaining broadly flat versus FY25.
- **Corporate lending remained the clear growth driver and continued to outpace larger banks.** CRBs' corporate loans on average increased 10% h/h and 13% y/y in 1H26, versus 8% h/h growth for both SOE banks and JSBs. BoNB remained the standout with corporate loans +18% h/h, followed by CSRCB, CRCB and BoSH with double-digit h/h growth. The continued corporate tilt supports overall credit growth and near-term asset quality, although stronger competition in corporate lending may continue to weigh on loan pricing.
- **Retail credit demand remained weak, with personal business loans the largest drag.** CRBs' retail loans declined -2% h/h (or -2% y/y) on average in 1H26, compared with +1% h/h for SOE banks and -2% h/h for JSBs. By product, mortgage loans were broadly flat y/y and personal business loans declined 5% y/y, while consumption loans increased modestly at +3%/y/y. BoBJ, CRCB and BoHZ saw the largest contractions in overall retail loans, while BoNJ and BoSH delivered modest growth. We believe weak retail demand, together with ongoing retail AQ pressure, will likely keep regional banks more reliant on corporate lending for balance sheet growth in the near term.
- **Deposit growth normalized in 2Q after strong seasonal inflows in 1Q, while the funding franchise remained broadly stable.** Average deposits were broadly flat q/q in 2Q, versus +7% q/q in 1Q. CRCB (-2% q/q) and BoHZ (-1% q/q) were the two banks reporting deposit contraction, while deposits at other covered CRBs were flat or increased. On deposit mix, CASA ratios improved at most covered CRBs, with CRCB and BoHZ being the exception (Figure 1).

Table 11: Key BS items

(RMB mn)	2Q25	3Q25	4Q25	1Q26	2Q26	Q/Q	2Q26 vs FY25	Y/Y
Assets								
CRCB	1,630,131	1,655,810	1,665,744	1,766,322	1,788,247	1%	7%	10%
CSRCB	401,227	402,230	403,079	419,435	424,788	1%	5%	6%
Ningbo	3,470,332	3,578,396	3,628,671	3,859,225	3,948,223	2%	9%	14%
Nanjing	2,901,438	2,962,308	3,021,820	3,206,885	3,237,324	1%	7%	12%
Shanghai	3,293,714	3,308,002	3,308,752	3,378,607	3,418,811	1%	3%	4%
Beijing	4,747,819	4,892,227	4,938,273	4,947,091	4,742,966	-4%	-4%	0%
Hangzhou	2,235,595	2,295,424	2,362,806	2,435,673	2,468,078	1%	4%	10%
CRB Average						1%	5%	8%
RWA								
CRCB	989,717	1,016,360	1,034,811	1,116,779	989,717	2%	10%	15%
CSRCB	287,525	282,123	278,796	296,971	301,892	2%	8%	5%
Ningbo	2,252,588	2,333,371	2,348,530	2,479,750	2,516,413	1%	7%	12%
Nanjing	1,878,053	1,918,703	1,950,592	2,065,046	2,074,829	0%	6%	10%
Shanghai	2,246,696	2,269,013	2,297,432	2,344,846	2,397,199	2%	4%	7%
Beijing	3,092,234	3,152,500	3,094,915	3,120,163	3,035,848	-3%	-2%	-2%
Hangzhou	1,336,479	1,376,096	1,384,818	1,460,711	1,507,570	3%	9%	13%
CRB Average						1%	6%	9%
Loans								
CRCB	765,245	777,973	797,287	830,095	844,746	2%	6%	10%
CSRCB	251,471	256,764	256,195	269,373	273,602	2%	7%	9%
Ningbo	1,673,213	1,716,823	1,733,314	1,897,045	1,949,958	3%	12%	17%
Nanjing	1,387,173	1,411,481	1,424,356	1,534,561	1,567,791	2%	10%	13%
Shanghai	1,436,984	1,441,646	1,440,810	1,484,606	1,528,765	3%	6%	6%
Beijing	2,390,856	2,373,046	2,399,755	2,425,798	2,402,057	-1%	0%	0%
Hangzhou	1,009,418	1,025,573	1,071,876	1,153,068	1,162,286	1%	8%	15%
CRB Average						2%	7%	10%
Deposits								
CRCB	1,025,195	1,027,092	1,028,728	1,107,905	1,089,055	-2%	6%	6%
CSRCB	319,001	320,892	317,345	334,383	335,325	0%	6%	5%
Ningbo	2,111,558	2,081,237	2,058,755	2,276,163	2,322,705	2%	13%	10%
Nanjing	1,680,551	1,677,037	1,709,148	1,868,310	1,862,305	0%	9%	11%
Shanghai	1,808,251	1,829,609	1,757,869	1,847,693	1,884,337	2%	7%	4%
Beijing	2,689,442	2,672,417	2,731,729	2,842,498	2,857,411	1%	5%	6%
Hangzhou	1,356,124	1,366,860	1,458,999	1,536,836	1,514,777	-1%	4%	12%
CRB Average						0%	7%	8%

Source: 2Q25-2Q26 company reports of 7 JPM covered China regional banks.

Table 12: Retail and corporate loan growth by banks

(Rmb mn)	Corporate loans					Retail loans				
	1H25	2H25	1H26	HoH	YoY	1H25	2H25	1H26	HoH	YoY
CRCB	416,345	434,974	484,197	11%	16%	300,424	301,022	279,763	-7%	-7%
CSRCB	95,580	99,122	110,883	12%	16%	136,300	137,068	138,912	1%	2%
Ningbo	986,194	1,061,187	1,252,784	18%	27%	535,310	534,498	537,004	0%	0%
Nanjing	986,313	1,026,947	1,130,833	10%	15%	331,949	335,067	344,176	3%	4%
Shanghai	874,060	859,030	957,241	11%	10%	389,536	404,994	410,098	1%	5%
Beijing	1,491,118	1,481,577	1,526,310	3%	2%	738,581	718,879	689,990	-4%	-7%
Hangzhou	630,319	694,618	749,834	8%	19%	299,379	302,007	283,692	-6%	-5%
CRBs average				10%	13%				-2%	-2%
SOE banks average				8%	8%				1%	0%
JSBs average				8%	10%				-2%	-3%

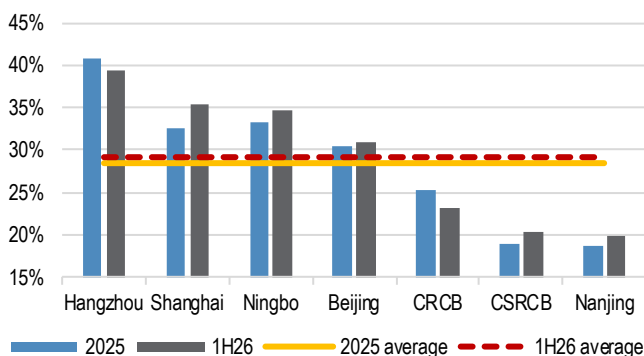
Source: 1H25-1H26 company reports of JPM covered China banks. SOE banks include ABC, BOC, CCB, ICBC, BoCom, PSCB; JSBs include PAB, CMB, Citic, MSB, Industrial, EB, SPDB, HXB. We use weighted average.

Table 13: Retail loan growth by segment

	Retail loan growth y/y growth in 1H26			as % of total loans in 1H26		
	Mortgage loans	Personal business loans	Personal consumption loans	Mortgage loans	Personal business loans	Personal consumption loans
CRCB	-4%	-8%	-8%	10%	14%	10%
CSRCB	5%	1%	5%	5%	35%	10%
Ningbo	2%	-1%	0%	5%	5%	18%
Nanjing	3%	-1%	5%	6%	1%	14%
Shanghai	2%	-6%	22%	11%	6%	8%
Beijing	-2%	-13%	-7%	14%	7%	8%
Hangzhou	-7%	-10%	8%	9%	10%	6%
Average	0%	-5%	3%	8%	11%	10%

Source: 1H26 company reports of 7 JPM covered China regional banks

Figure 1: CASA ratio by bank



Source: 2025 and 1H26 company reports of 7 JPM covered China regional banks.

Asset quality: retail risks remained the main pressure; BoSH saw the largest deterioration

- **Headline AQ indicators were largely stable, except that BoSH saw fast deterioration.** CRBs' average NPL ratio increased 3bps q/q to 0.98% and average NPL coverage declined 9ppts q/q to a 334%. BoSH was the clear negative outlier, with its NPL ratio rising 24bps q/q to 1.42% and coverage declining 43ppts to 198%, partly reflecting stricter NPL recognition and higher risks from the corporate side. Excluding BoSH, NPL ratios were broadly stable to slightly improving across covered CRBs.
- **Forward-looking indicators were mixed.** The average SML ratio declined 11bps q/q in 2Q26, with BoSH and BoNJ seeing the largest improvements, although BoSH's decline partly reflected migration into NPLs. On a semi-annual basis, the average overdue ratio was flat h/h in 1H26. BoNJ showed the clearest improvement across both indicators, while BoHZ deteriorated, with SML up 2bps q/q and overdue ratio up 13bps h/h. Coverage ratio on problem loans (NPL and SML) remain flat h/h.
- **Retail AQ remained the key sector-wide risk and deterioration broadened across sub-segments.** The average retail NPL ratio increased 10bps h/h to 1.71%, substantially worse than the 6bps h/h increase in corporate NPL ratio. Average NPL ratios for mortgage/personal business/personal consumption loans increased 15bps/17bps/14bps h/h, respectively. BoNJ was the notable positive, with its retail NPL ratio declining 7bps h/h.
- **Corporate AQ also weakened modestly, but the deterioration was concentrated at BoSH.** Average corporate NPL ratio rose 6bps h/h to 0.73%, mainly due to BoSH, where the corporate NPL ratio increased 32bps h/h to 1.66%, driven partly by property-sector stress. Excluding BoSH, corporate AQ remained broadly stable, with CRCB and BoHZ continuing to improve.
- **NPL formation edged higher, but the deterioration was concentrated in selected banks.** We calculate that the average gross NPL formation ratio increased modestly in 1H26 on y/y basis, mainly dragged by BoSH, while BoNB and BoHZ showed improvement.

Table 14: Key asset quality ratios

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Q/Q	Y/Y
NPL %								
CRCB	1.17%	1.17%	1.12%	1.08%	1.07%	1.05%	-2 bps	-12 bps
CSRCB	0.76%	0.76%	0.76%	0.76%	0.75%	0.75%	0 bps	-1 bps
Ningbo	0.76%	0.76%	0.76%	0.76%	0.76%	0.76%	0 bps	0 bps
Nanjing	0.83%	0.84%	0.83%	0.83%	0.83%	0.82%	-1 bps	-2 bps
Shanghai	1.18%	1.18%	1.18%	1.18%	1.18%	1.42%	24 bps	24 bps
Beijing	1.30%	1.30%	1.29%	1.29%	1.32%	1.30%	-2 bps	0 bps
Hangzhou	0.76%	0.76%	0.76%	0.76%	0.76%	0.76%	0 bps	0 bps
Simple average	0.97%	0.97%	0.96%	0.95%	0.95%	0.98%	3 bps	1 bps
NPL Coverage ratio								
CRCB	363%	356%	365%	367%	366%	357%	-8 pcts	2 pcts
CSRCB	490%	490%	463%	451%	438%	432%	-6 pcts	-58 pcts
Ningbo	371%	374%	376%	373%	369%	373%	4 pcts	-1 pcts
Nanjing	324%	312%	313%	314%	307%	306%	-1 pcts	-5 pcts
Shanghai	271%	245%	255%	245%	241%	198%	-43 pcts	-47 pcts
Beijing	198%	196%	196%	200%	198%	200%	2 pcts	4 pcts
Hangzhou	530%	521%	514%	502%	481%	472%	-9 pcts	-49 pcts
Simple average	364%	356%	354%	350%	343%	334%	-9 pcts	-22 pcts
SML % **								
Ningbo	1.00%	1.02%	1.08%	1.14%	1.06%	1.04%	-2 bps	2 bps
Nanjing	1.15%	1.06%	1.06%	1.16%	1.05%	0.97%	-8 bps	-9 bps
Shanghai	2.05%	2.04%	2.08%	2.11%	2.12%	1.77%	-35 bps	-27 bps
Hangzhou	0.54%	0.51%	0.53%	0.52%	0.47%	0.49%	2 bps	-2 bps
Simple average	1.19%	1.24%	1.19%	1.23%	1.17%	1.07%	-11 bps	-9 bps
LLR								
CRCB	4.27%	4.16%	4.08%	3.96%	3.91%	3.74%	-17 bps	-42 bps
CSRCB	3.72%	3.74%	3.52%	3.42%	3.29%	3.23%	-6 bps	-51 bps
Ningbo	2.82%	2.84%	2.86%	2.83%	2.81%	2.83%	3 bps	0 bps
Nanjing	2.68%	2.60%	2.60%	2.61%	2.54%	2.50%	-5 bps	-11 bps
Shanghai	3.20%	2.89%	3.00%	2.89%	2.84%	2.82%	-3 bps	-7 bps
Beijing	2.58%	2.54%	2.53%	2.58%	2.61%	2.59%	-3 bps	4 bps
Hangzhou	4.04%	3.95%	3.89%	3.81%	3.64%	3.59%	-6 bps	-37 bps
Simple average	3.33%	3.25%	3.21%	3.16%	3.09%	3.04%	-5 bps	-20 bps

Source: 1Q25-2Q26 company reports of 7 JPM covered China regional banks. **Note: CRCB CSRCB and Bank of Beijing did not disclose quarterly SML ratio.

Table 15: Forward-looking AQ indicators

Forward Looking Indicators	2H23	1H24	2H24	1H25	2H25	1H26	HoH	YoY
SML ratio								
CRCB	1.14%	1.41%	1.46%	1.48%	1.42%	1.40%	-2 bps	-7 bps
CSRCB	1.17%	1.36%	1.49%	1.57%	1.59%	1.59%	0 bps	2 bps
Ningbo	0.65%	1.02%	1.03%	1.02%	1.14%	1.04%	-10 bps	2 bps
Nanjing	1.17%	1.07%	1.20%	1.06%	1.16%	0.97%	-19 bps	-9 bps
Shanghai	2.07%	2.14%	2.06%	2.04%	2.11%	1.77%	-35 bps	-27 bps
Beijing	1.78%	1.87%	1.79%	1.50%	1.61%	1.58%	-3 bps	8 bps
Hangzhou	0.40%	0.53%	0.55%	0.51%	0.52%	0.49%	-3 bps	-2 bps
CRB average	1.20%	1.34%	1.37%	1.31%	1.37%	1.26%	-10 bps	-5 bps
Overdue ratio								
CRCB	1.42%	1.52%	1.32%	1.41%	1.19%	1.25%	6 bps	-15 bps
CSRCB	1.23%	1.54%	1.43%	1.63%	1.92%	1.95%	3 bps	32 bps
Ningbo	0.93%	0.92%	0.95%	0.89%	0.86%	0.86%	0 bps	-2 bps
Nanjing	1.31%	1.25%	1.27%	1.27%	1.28%	1.20%	-8 bps	-7 bps
Shanghai	1.71%	1.72%	1.73%	1.60%	1.65%	1.50%	-15 bps	-9 bps
Beijing	1.72%	1.82%	1.62%	1.53%	1.96%	1.96%	0 bps	43 bps
Hangzhou	0.62%	0.70%	0.55%	0.61%	0.42%	0.56%	13 bps	-5 bps
CRB average	1.28%	1.35%	1.27%	1.28%	1.33%	1.33%	0 bps	5 bps
Coverage ratio over (NPL+SML)								
CRCB	187%	164%	161%	156%	157%	152%	-5 pcts	-4 pcts
CSRCB	206%	190%	167%	155%	140%	132%	-8 pcts	-23 pcts
Ningbo	244%	177%	163%	156%	146%	154%	8 pcts	-2 pcts
Nanjing	157%	151%	137%	138%	131%	140%	9 pcts	2 pcts
Shanghai	96%	95%	97%	89%	87%	88%	1 pcts	-1 pcts
Beijing	90%	84%	86%	90%	88%	89%	1 pcts	-1 pcts
Hangzhou	368%	320%	312%	310%	296%	286%	-10 pcts	-24 pcts
CRB average	193%	169%	160%	156%	149%	149%	0 pcts	-8 pcts
NPL/Overdue loans								
CRCB	84%	78%	89%	83%	91%	84%	-7 pcts	0 pcts
CSRCB	61%	49%	54%	47%	40%	38%	-1 pcts	-8 pcts
Ningbo	81%	82%	80%	86%	88%	88%	0 pcts	2 pcts
Nanjing	69%	67%	65%	66%	65%	68%	3 pcts	2 pcts
Shanghai	71%	70%	68%	74%	71%	95%	23 pcts	21 pcts
Beijing	77%	72%	81%	85%	66%	66%	0 pcts	-19 pcts
Hangzhou	121%	108%	137%	125%	179%	136%	-43 pcts	11 pcts
CRB average	81%	75%	82%	81%	86%	82%	-3 pcts	1 pcts

Source: 2H23-1H26 company reports of 7 JPM covered China regional banks.

Table 16: Retail and Corporate asset quality by bank

	Corporate loans AQ					Retail loans AQ				
	1H25	2H25	1H26	HoH	YoY	1H25	2H25	1H26	HoH	YoY
CRCB	0.68%	0.55%	0.54%	-1 bps	-15 bps	2.04%	2.07%	2.23%	17 bps	20 bps
CSRCB	0.56%	0.55%	NA	NA	NA	1.02%	1.02%	NA	NA	NA
Ningbo	0.24%	0.23%	0.29%	5 bps	5 bps	1.86%	1.94%	2.00%	6 bps	14 bps
Nanjing	0.65%	0.63%	0.64%	1 bps	-1 bps	1.43%	1.49%	1.42%	-7 bps	-1 bps
Shanghai	1.36%	1.35%	1.66%	32 bps	30 bps	1.30%	1.34%	1.42%	8 bps	12 bps
Hangzhou	0.65%	0.58%	0.53%	-5 bps	-12 bps	1.02%	1.21%	1.48%	27 bps	46 bps
Average (ex. CSRCB)	0.72%	0.67%	0.73%	6 bps	2 bps	1.53%	1.61%	1.71%	10 bps	18 bps

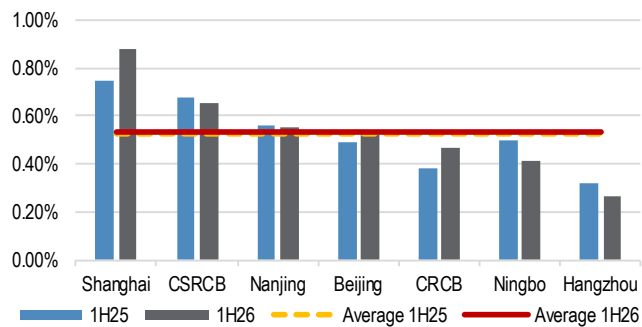
Source: 1H25-1H26 company reports of 7 JPM covered China regional banks. Note: Bank of Beijing does not disclose retail and corporate AQ, CSRCB does not disclose retail and corporate AQ in 1H26.

Table 17: Retail asset quality by bank

	Mortgage loans				Personal business loans				Personal consumption loans			
	1H25	2H25	1H26	HoH	1H25	2H25	1H26	HoH	1H25	2H25	1H26	HoH
CRCB	1.33%	1.60%	1.49%	-11 bps	2.46%	1.97%	2.03%	6 bps	2.15%	2.61%	3.31%	70 bps
CSRCB	0.26%	NA	NA	NA	1.13%	NA	NA	NA	0.83%	NA	NA	NA
Ningbo	0.71%	0.89%	1.20%	31 bps	3.30%	3.45%	3.81%	36 bps	1.83%	1.85%	1.78%	-7 bps
Shanghai	0.63%	0.69%	0.87%	17 bps	2.12%	2.39%	2.11%	-28 bps	1.26%	1.25%	1.39%	14 bps
Hangzhou	0.46%	0.71%	0.95%	24 bps	1.28%	1.52%	2.08%	56 bps	1.46%	1.45%	1.26%	-19 bps
CRB average	0.68%	0.97%	1.13%	15 bps	2.06%	2.33%	2.51%	17 bps	1.51%	1.79%	1.93%	14 bps

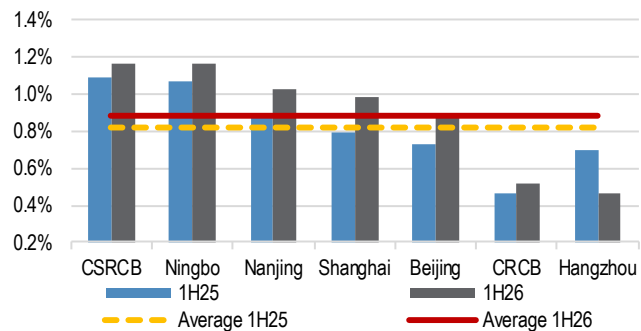
Source: 1H25-1H26 company reports of 7 JPM covered China regional banks. Note: Bank of Beijing and Bank of Nanjing do not disclose retail AQ details, CSRCB stopped disclosing since 2H25.

Figure 2: Gross NPL formation by bank



Source: 1H25 and 1H26 semi-annual reports of 7 JPM covered China regional banks.

Figure 3: Credit cost by bank

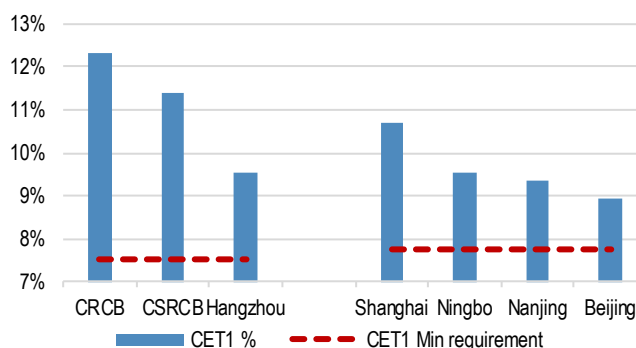


Source: 1H25 and 1H26 semi-annual reports of 7 JPM covered China regional banks.

Capital ratios recovered modestly, but low CET1 buffers remain a constraint for city banks

- **Capital ratios improved in 2Q after weakening in 1Q.** CRBs' average CET1 ratio increased 12bps q/q. BoBJ/BoNB/BoNJ recorded the largest CET1 improvements at +33bps/+28bps/+20bps q/q, respectively. The improvement was partly aided by faster growth in capital-light business, including fee income. For BoBJ, the improvement also reflected the balance sheet contraction, as total assets contracted -4% q/q.
- **The capital constraint has eased somewhat but remains relevant for several city banks.** BoBJ still has the lowest CET1 buffer at only around 116bps above its minimum requirement, followed by BoNJ at 162bps and BoNB at 178bps. This remains substantially below the buffers at CRCB (483bps) and CSRCB (390bps). For banks pursuing above-peer balance sheet growth, particularly BoNB and BoNJ, we believe capital efficiency and internal capital generation will remain key investor debates even after the 2Q improvement.
- **Shareholder return policies remained generally supportive despite capital constraints.** BoNB raised its 1H26 interim dividend payout ratio to 16% from 13% in 1H25, BoHZ increased its interim payout ratio to 26% from 24%, and BoBJ resumed 1H26 interim dividend after a suspension in 1H25; BoSH maintained its interim payout ratio at 32%. The remaining banks have not announced 1H26 interim dividends, but have obtained approvals from shareholders' meetings (see Table 19 for details).

Figure 4: 2Q26 CET1 ratio by bank



Source: 2Q26 company reports of 7 JPM covered China regional banks. Note: minimum capital requirement is 7.5% for CRCB, CSRCB and BoHZ, while 7.75% for the remaining.

Table 18: Capital ratios by bank

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Q/Q	Y/Y
CET1 %								
CRCB	13.16%	13.30%	12.98%	12.67%	12.25%	12.33%	8 bps	-97 bps
CSRCB	10.78%	10.73%	11.14%	11.60%	11.35%	11.40%	5 bps	67 bps
Ningbo	9.32%	9.65%	9.21%	9.34%	9.25%	9.53%	28 bps	-12 bps
Nanjing	8.89%	9.47%	9.54%	9.35%	9.17%	9.37%	20 bps	-9 bps
Shanghai	10.54%	10.78%	10.52%	10.65%	10.73%	10.68%	-5 bps	-10 bps
Beijing	8.64%	8.59%	8.44%	8.37%	8.59%	8.91%	32 bps	32 bps
Hangzhou	9.01%	9.74%	9.64%	9.59%	9.56%	9.52%	-4 bps	-22 bps
CRB average	10.05%	10.32%	10.21%	10.22%	10.13%	10.25%	12 bps	-7 bps
Tier-1 %								
CRCB	13.79%	13.93%	13.59%	13.27%	12.81%	12.87%	6 bps	-106 bps
CSRCB	10.83%	10.78%	11.19%	11.65%	11.40%	11.44%	4 bps	67 bps
Ningbo	10.44%	10.75%	10.70%	10.40%	10.26%	11.16%	90 bps	41 bps
Nanjing	10.52%	11.07%	11.11%	10.64%	10.39%	10.59%	20 bps	-48 bps
Shanghai	11.42%	11.67%	11.40%	11.09%	11.16%	11.10%	-6 bps	-57 bps
Beijing	11.53%	12.08%	11.87%	11.70%	11.89%	12.97%	108 bps	88 bps
Hangzhou	11.34%	11.98%	11.82%	11.76%	11.62%	11.51%	-11 bps	-47 bps
CRB average	11.41%	11.75%	11.67%	11.50%	11.36%	11.66%	30 bps	-9 bps
CAR %								
CRCB	14.97%	15.11%	14.77%	14.46%	14.00%	14.07%	7 bps	-104 bps
CSRCB	13.67%	13.60%	13.66%	12.89%	12.64%	12.68%	4 bps	-93 bps
Ningbo	14.94%	15.21%	14.62%	14.30%	14.02%	14.64%	63 bps	-57 bps
Nanjing	13.02%	13.63%	13.64%	13.15%	12.83%	13.02%	19 bps	-61 bps
Shanghai	14.37%	14.62%	14.33%	14.00%	14.02%	13.76%	-26 bps	-86 bps
Beijing	12.52%	13.06%	12.82%	12.88%	13.07%	14.10%	103 bps	104 bps
Hangzhou	14.05%	14.64%	14.43%	14.37%	14.14%	13.99%	-15 bps	-65 bps
CRB average	13.93%	14.27%	14.04%	13.72%	13.53%	13.75%	22 bps	-52 bps

Source: 1Q25-2Q26 company reports of 7 JPM covered China regional banks.

Table 19: Interim dividend payout ratio in 1H25 and 1H26 by bank

	1H25	1H26	
CRCB	30%	Not disclosed	According to 1H26 report, company will distribute interim dividend in 1H26. 1H25 dividend announcement was made in Dec 2025
CSRCB	25%	Not disclosed	According to 1H26 report, the shareholders' meeting authorizes the board of directors to formulate and implement a 2026-year interim profit distribution plan subject to the conditions for profit distribution
Ningbo	13%	16%	NA
Nanjing	30%	Not disclosed	According to 1H26 report, the shareholders' meeting authorizes the board of directors to formulate and implement a 2026-year interim profit distribution plan subject to the conditions for profit distribution. 1H25 interim dividend announcement was made in Oct 2025
Shanghai	32%	32%	NA
Beijing	NA	17%	NA
Hangzhou	24%	26%	NA

Source: 1H25-1H26 company reports of 7 JPM covered China regional banks. Note: we calculate the payout ratio as interim dividend amount/attributable profits.

Companies Discussed in This Report (all prices in this report as of market close on 04 September 2026, unless otherwise indicated)

Bank of Beijing - A(601169.SS/Rmb5.60/UW), Bank of Nanjing - A(601009.SS/Rmb11.98/OW), Bank of Ningbo - A(002142.SZ/Rmb34.50/OW), Bank of Shanghai - A(601229.SS/Rmb9.61/N)

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Bank of Ningbo - A (002142.SZ, 002142 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
10-Oct-23	OW	27.13	37.9
05-Jun-24	OW	24.21	30
24-Mar-25	OW	25.99	33.8
21-Apr-25	OW	24.60	32
10-Sep-25	OW	29.31	36.2
09-Dec-25	OW	28.18	35.8
23-Jan-26	OW	29.50	38.2
19-May-26	OW	31.08	38.8
25-Aug-26	OW	33.90	39.2

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 23, 2020. All share prices are as of market close on the previous business day.

Bank of Nanjing - A (601009.SS, 601009 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
11-Oct-23	OW	7.94	11.4
20-May-24	OW	9.80	11.1
24-Mar-25	N	10.23	11.8
29-Apr-25	N	10.51	11.3
03-Jun-25	N	11.46	11.4
10-Sep-25	OW	11.16	13.4
19-May-26	OW	11.00	12.8
04-Aug-26	OW	11.64	12.9

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 23, 2020. All share prices are as of market close on the previous business day.

Bank of Shanghai - A (601229.SS, 601229 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
11-Oct-23	UW	6.14	5
11-May-24	UW	7.41	5.3
24-Mar-25	OW	9.21	11
29-Apr-25	OW	10.60	11.9
10-Sep-25	OW	9.40	11.5
10-Dec-25	OW	9.60	11.7
19-May-26	N	9.26	9.5
04-Aug-26	N	9.58	9.2

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 23, 2020. All share prices are as of market close on the previous business day.

Bank of Beijing - A (601169.SS, 601169 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
20-May-24	UW	5.80	3.6
24-Mar-25	N	5.99	6.5
21-Apr-25	N	6.23	6.4
09-Dec-25	N	5.63	6
19-May-26	UW	5.17	4.4
04-Aug-26	UW	5.23	4.5

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 23, 2020. All share prices are as of market close on the previous business day.

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